STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Dr Mariam Chung

Of

98 Yarrbat Avenue
BALWYN VIC 3103

Prepared on:

13th September 2021

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

13/09/2021

Dr Mariam Chung
98 Yarrbat Avenue
BALWYN VIC 3103

Dear Mariam,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure of surplus funds
- Taxation planning
- Cash Flow
- Superannuation structure
- Investment planning
- Wealth accumulation

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Mariam, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Explore options as to best use of your surplus cash.
- Explore the option of moving out and renting, understanding your cash flow position based on your current income.
- Consider the purchase of a second investment property.
- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Consider appropriate superannuation contribution strategies.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Dr
First Name	Mariam
Surname	Chung
Gender	F
Date of Birth	19/01/1990
Age Last Birthday	31

Employment Details

Employment Status	Full Time
Occupation	Dentist
Employer	Pacific Smiles – 2 days p.w. (contractor) BUPA – 4 days p.w. (employee)

Estate Planning

	Mariam
Do you have a Current Will?	No
Do you have Current Powers of Attorney?	No
Do you have a Testamentary Trust?	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Motor Vehicle	$65,000
Total Lifestyle Assets	**$65,000**

Investment Assets	
Balwyn Investment Property	$699,000
Cash - Australian Bank Account	$289,000
Cash – Malaysian Bank Account (AUD)	$80,000
Total Investment Assets	**$1,068,000**

Superannuation Assets	
Uni Super	$17,000
Self-Managed Superannuation Fund (SMSF)	$400,000
Total Superannuation Assets	**$417,000**

Total ASSETS	**$1,550,000**

LIABILITIES

Investment Property Loan	$400,000
Total Liabilities	**$400,000**

NET WORTH	**$1,150,000**

Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Investor Risk Profile questionnaire, it was determined that you can be classified as a Balanced investor in regard to your investments.

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth-oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5-year horizon while their portfolio builds a growing income stream and capital growth.

A **Balanced** investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2021-22

Taxable income	***Tax on this income***
$1 – $18,200	Nil
$18,201 – $45,000	19c for each $1 over $18,200
$45,001 – $120,000	$5,092 plus 32.5c for each $1 over $45,000
$120,001 – $180,000	$29,467 plus 37c for each $1 over $120,000
$180,001 and over	$51,667 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pre-retirement pension' phase - Tax rate = 15%

Superannuation in 'allocated pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2021	$27,500	**$27,500**	**$27,500**	**$27,500**	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year	Must be employed	Cannot contribute

Current Tax & Cash Flow Position

The following tables represents your current tax and cash flow over a full financial year.

Current Position

Estimated Tax Liability for Mariam

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income – BUPA	$87,727			
Gross Income – Dental Clinic	$37,837			
Interest and Other Income	$4,490			
Gross Rent – Investment property	$18,851			
Deductions				
Investment Property Deductions				
Interest		$13,907		
Capital Works		$7,630		
Other Rental Deductions		$13,828		
Other Deductions		$4,181		
TAXABLE INCOME			**$109,359**	
Tax Payable before Rebates/Credits				**$26,009**
LESS Rebates & Credits				
Low & Middle Income Offset				($499)
Net Small Business Tax Offset				($1,000)
Total Rebates & Credits				**($1,499)**
TAX PAYABLE after REBATES & CREDITS				**$24,510**
Medicare Levy				$2,187
NET TAX				**$26,697**

Estimated Cash Flow

	Mariam
Income	
Income Received	$148,905
Sub Total	**$148,905**
Less Income Tax	$26,697
Less Superannuation Contributions	$0
Net Income	**$122,208**
Less Tax-Deductible Expenditure	$39,546
Income Surplus to meet other costs	**$82,662**

Surplus Funds

Mariam, you currently have cash reserves of $289,000 and you seek advice regarding the most appropriate use of these monies.

The options available to you are:

1. Leave in cash
2. Place in an offset account against your investment property loan
3. Invest all of the monies in a mix of low-cost Index Funds across the various asset classes
4. Contribute a portion of the funds towards a deposit on another investment property and invest the remaining monies in a managed fund, invested in a mix of low-cost Index Funds across the various asset classes

1. Leaving in cash

Given record low interest rates, we feel that these funds could be put to better use via either Option 3 or Option 4 in an effort to achieve greater returns without taking on significant levels of risk.

This is therefore not considered a viable option.

2. Place in an offset account against your investment property loan

Once the refinance is finalised, the interest rate on your investment loan will be 1.99% p.a. It is anticipated that the investment return within the other asset classes (i.e. direct property or managed funds) will be greater than this, particularly over the longer term.

This is therefore not considered a viable option.

3. Invest all of the monies in a mix of low-cost Index Funds across various asset classes

This structure will provide you with further diversification and access to all asset classes rather than just cash, fixed interest or property. An example of such a portfolio on Colonial First State's FirstChoice platform is as follows:

Colonial First State Wholesale Index Fund 'Balanced' Portfolio

	% of portfolio
Realindex Wholesale Australian Small Companies	14%
Colonial First State Wholesale Index Australian Share	20%
Colonial First State Wholesale Index Global Share	20%
Colonial First State Wholesale Index Property Securities	14%
Colonial First State Wholesale Index Australian Bond	32%
	100.00%

Performance of the *Colonial First State Wholesale Index Fund 'Balanced' Portfolio* at 31/07/21

	% of portfolio	1 year	3 years (p.a.)	5 years (p.a.)
Realindex Wholesale Australian Small Companies	20%	32.43%	9.44%	9.18%
Colonial First State Wholesale Index Australian Share	14%	28.18%	9.22%	9.73%
Colonial First State Wholesale Index Global Share	20%	31.43%	14.68%	14.78%
Colonial First State Wholesale Index Property Securities	14%	32.29%	7.20%	4.48%
Colonial First State Wholesale Index Australian Bond	32%	0.31%	4.48%	3.07%
	100.00%	**21.08%**	**8.54%**	**7.80%**

Fee Structure

The portfolio detailed above has a Management Expense Ratio of 0.38% p.a. which is built into the performance figures. Hence, this is an indirect cost.

The FirstChoice platform does not have any administration or account keeping fees.

Please note that there is an additional adviser service fee of 0.60% that is paid by you.

Dollar Cost Averaging

Rather than moving all of the cash into the markets at once, a Dollar Cost Averaging strategy should be considered in an effort to avoid trying to 'time' the market.

Dollar cost averaging is simply the term used to describe the strategy of making regular incremental investments over a period of time as opposed to a one-off lump sum investment.

The theory behind this strategy is that you can reduce the market timing risk of investing your entire portfolio in a single transaction on what might be an expensive entry point. In other words, if you invest a lump sum on a day when the market is up you will purchase a lower number of units compared to a day when the market is lower. By adopting a dollar cost averaging strategy, you can spread out your investment entry points and potentially achieve a lower average cost base, which means you purchase a greater number of units for the same (investment) amount.

4. Contribute a portion of the funds towards a deposit on another investment property and invest the remaining monies in a managed fund, invested in a mix of low-cost Index Funds across the various asset classes

Assuming a purchase price of (say) $700,000 and taking into consideration Stamp Duty, a 20% deposit will be required in order to avoid Lender's Mortgage Insurance (LMI). Therefore, the overall structure would be as follows:

	Investment property debt
Purchase price	$700,000
Stamp duty	$37,070
TOTAL OUTLAY	$737,070
Less cash contribution	($177,000)
Loan required	**$560,070**
Type of debt	**Deductible**

In this scenario, you would be contributing approximately $177,000 of your $289,000 cash reserves to this new purchase. The remaining $112,000 could be invested as per the Index Fund portfolio outlined under Option (3) above.

Ability to Move Out and Rent Based on Cash Flow

As documented earlier, your current cash flow after taking into consideration all income, deductible expenditure and tax, is as follows:

	Mariam
Income	
Income Received	$148,905
Sub Total	**$148,905**
Less Income Tax	$26,697
Less Superannuation Contributions	$0
Net Income	**$122,208**
Less Tax-Deductible Expenditure	$39,546
Income Surplus to meet other costs	**$82,662**

You therefore have sufficient capacity to consider moving out and renting as the associated costs will be well within the documented income surplus above.

This position would not change under Options 1, 2 or 3 as there are no additional expenses associated with these options.

Under Option (4), there will be additional income and costs and these have been estimated as follows:

ESTIMATED RENTAL INCOME		$ 20,000
Less:		
Principal & Interest repayments on a $560,070 loan at 1.99% p.a.	$24,720	
Other estimated investment property costs	$14,000	
APPROXIMATED ADDITIONAL COSTS		$ 38,720
NET CASH FLOW DEFICIT FROM ADDITIONAL INVESTMENT		**($18,720)**

Summary

- Should you purchase a second investment property under the parameters outlined above, your estimate income surplus to meet all costs should you move out and rent may be calculated as follows:

	Previous income Surplus	$82,662
Less:	Cash flow deficit from additional investment	($18,720)
	Income Surplus to meet other costs	**$63,942**

Personal Concessional Contributions

Mariam, you are currently earning a taxable income of approximately $109,359 p.a.

The concessional superannuation contribution cap was $25,000 in the 2020/21 financial year and this has increased to $27,500 from the 2021/22 financial year.

Mariam, you are currently receiving Superannuation Guarantee (SG) contributions of approximately $9,500 p.a. The concessional superannuation contribution cap is $27,500 per annum.

Consideration:

- Mariam, consider making salary sacrifice or personal concessional contributions to superannuation up to the maximum limit each year. This would equate to additional personal contributions of up to $18,000 p.a.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to 34.5% if taken as income.
- **At this level, the total tax saving each year is anticipated to be $5,750.**
- You have increased your NET superannuation contributions to build a capital base to meet your retirement income goals.

Risks:

- **Superannuation benefits cannot be accessed until you reach preservation age (currently 60).**
- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Superannuation Fund - Mariam

Mariam, you currently have the following approximate superannuation balance:

- Uni Super $ 17,014
- Self-Managed Superannuation Fund (SMSF) $400,000

You are a member of a SMSF with your parents. Your balance within this SMSF is approximately $400,000 and your parents are managing how this is invested. You are comfortable with this at this stage and do not seek advice around this in the short term. This may well come into the scope of advice in the years ahead.

Recommendations:

- You effectively have two options in terms of how your non-SMSF superannuation is structured:
  - Continue to hold these monies with Uni Super; or
  - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation platform.

Investments Within Superannuation

Uni Super – Account Number 14012149

Mariam, you have a superannuation fund with Uni Super, invested in the 'Balanced' option. The asset allocation of the Balanced option is as follows:

Asset Class	% of Portfolio
Australian Shares	33%
International Shares	27%
Property	10%
Fixed Interest	30%
Cash	
	100%

Current Uni Super Portfolio Profile Compared to 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	33%	34%	**-1%**
International Shares	27%	20%	**+7%**
Property	10%	14%	**-4%**
Fixed Interest	30%	32%	**-2%**
Cash			

Current Uni Super Balanced Historical Performance at 31/07/21

	1 year	3 years (p.a.)
Balanced option	19.29%	9.77%

Option 1 – Continue to hold these monies with Uni Super

Upside:

- The overall fee structure is relatively low when compared to a Master Trust platform.

Downside:

- The investment options available are very limited
- The historical average performance associated with your existing fund is lower than alternative option.

Option 2 – Master Trust Platform (Colonial First State)

Your investments in the Colonial First State platform would have a specifically modelled portfolio. The specific underlying funds that make up your individual portfolio would be:

Colonial First State Wholesale Allocated Pension – 'Balanced' portfolio

	% of portfolio
CFS Wholesale Aust. Small Companies	20%
Colonial First State Wholesale Index Australian Share	14%
Colonial First State Wholesale Index Global Share	20%
Pendal Wholesale Property Investment (BT)	14%
Colonial First State Wholesale Index Australian Bond	32%
	100.00%

Performance of the alternative Colonial First State Balanced Portfolio at 31/07/21

	% of portfolio	1 year	3 years p.a.
CFS Wholesale Aust. Small Companies	20%	27.61%	8.84%
Colonial First State Wholesale Index Australian Share	14%	39.17%	16.63%
Colonial First State Wholesale Index Global Share	20%	25.77%	9.35%
Pendal Wholesale Property Investment (BT)	14%	27.90%	13.40%
Colonial First State Wholesale Index Australian Bond	32%	28.43%	9.27%
	100.00%	**21.05%**	**9.84%**

Benefits:

- The alternative portfolio has outperformed the Uni Super fund.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Mariam

Type of Fee or Cost	Uni Super	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee $96 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.60% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.46% p.a.	0.67% p.a.
Annual average cost - Total $17,000 investment	**$174 p.a.**	**$216 p.a.**

Outcomes Post Implementation:

- Mariam, the sum of your total ongoing management and administration fees will **increase** by approximately **$42 PER ANNUM**.

Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs, there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self-insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Existing Cover Amounts

Mariam, you currently have the following insurance cover in place under your Uni Super fund

<u>Uni Super (superannuation owned)</u>
Life Insurance: $232,000
TPD: $232,000

Mariam, you currently have the following insurance cover in place outside of superannuation

<u>NEOS (Self-Owned)</u>
Life Insurance: $200,000
Trauma: $200,000

<u>PPS Mutual (Self-Owned)</u>
Income Protection: $5,750 p.m. (30 day wait / payment period to age 65)

<u>A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken. Lakeside's Andrew Kent will assist you with this analysis and we will subsequently provide recommendations accordingly.</u>

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $2,500+GST, which will be invoiced to you.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700)

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund provMariamg I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for provMariamg you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.